

10 account for 38.7 per cent and 56 per cent on NSE and BSE, respectively. This effectively means that only a fraction of the others have a meaningful identity. And while traditional full-service brokerages do figure among the top 15-20 players, the new-age entrants—mostly the discount broking entities—have the most active users (see *Bargain Bounty*).

While all well-known older players have gone digital, they have realised that pure-play broking activity will not sustain them in the long term. Hence, they are restructuring themselves to adapt to the new normal wherein broking charges are at zero, and they offer a bunch of financial services. Value-added services, including advisory and research related to stock market investment and also overall financial planning or wealth management, have become the mantra for most of the traditional, but fully digital, brokerages.

80 | While names like ICICI Securities, IIFL, Motilal Oswal Financial Services, Axis Securities and HDFC Securities still figure among the top 10 players in terms of the number of active clients, almost all have seen the share of their broking income—as a proportion of their overall income—dip over the years with the other segments steadily enhancing their share of the total pie.

SHRINKING PIE

“In absolute terms, our brokerage revenues have grown substantially. But on the total revenue pie, the share of broking revenue has been gradually coming down since we have built a strong focus on the distribution business and also offer margin trade financing,” says Ajay Menon, MD & CEO of Broking & Distribution at Motilal Oswal Financial Services.

For the domestic major, the share of non-broking revenue has increased from 20 per cent in FY13 to 30 per cent in FY18, while in H1FY23 it was about 40 per cent. “We believe that acquiring quality revenue-generating clients and providing strong value-added services

will be key to profitable and sustainable growth going ahead,” says Menon.

Similarly, for ICICI Securities, which was once the largest brokerage in terms of the number of active clients, the share of broking revenue has dipped to less than 40 per cent from more than 58 per cent in 2020-21. Interestingly, it was a conscious effort on the part of the broking firm backed by ICICI Bank. “The competition was also telling us that we cannot continue to be what we were and we had to change. In this context, we began our transformation,” says Vijay Chandok, MD & CEO of ICICI Securities. “Rather than just providing equity services, we decided to focus on three zones of opportunities: savings, investments and wealth management; distribution of protection services (health and life assets); and borrowings (all kinds of loans, credit cards, etc.)”

Incidentally, ICICI Securities was among the first players in the broking arena to embrace technology decades ago and offer its customers a digital trading platform through its website. So, while one could say that it was easier for it to adapt to the new normal, others have also embarked on the transformation journey in a steady manner.

Take Axis Securities, for instance. As much as 70 per cent of its top line comes from the broking business even as it attempts to change the mix by improving its suite of products. “We want our products to have a bigger pie in revenues, supplementing the pure brokerage transaction fees,” says B. Gopkumar, MD & CEO of Axis Securities. “We see offering quality products as the way forward for brokerage houses seeking to boost their income. As a full-service brokerage, we want to provide our customers with an array of investment options they can select from based on their risk profile.”

For IIFL Securities, the share of broking revenue has been between 42 per cent and 49 per cent during the past five years even as it continues to focus on offering bespoke services and a diversified product suite, along with quality research. “While discount broking is a

CHANGING FOCUS

▶ **Full-service broking firms are aiming to become one-stop financial services platforms**

▶ **They are betting big on distribution services for investments, savings, wealth management, etc.**

▶ **Their share of broking income is dipping due to the entry of aggressive discount players**

▶ **A key focus area for these firms is value-added services related to research and advisory**